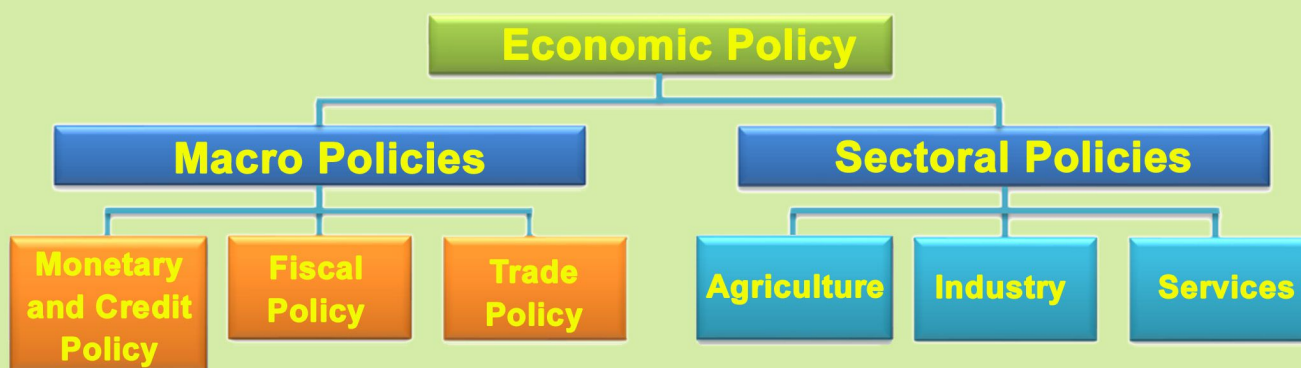




Issues of Concern

1. Poverty and Inequality
2. Unemployment
3. Regional Disparities
4. Malnutrition
5. Social Security
6. Good Governance



VOLUME-II
(Block 3 and 4)

EXPERT COMMITTEE

Prof. Atul Sarma
Former Director,
Indian Statistical Institute
New Delhi & Visiting Professor
Institute for Human Development
New Delhi

Prof. N.R. Bhanumurthi
Professor, National Institute of Public
Finance and Policy, New Delhi

Prof. Prem S. Vashistha
Rtd. Director, AGRO Economic
Research Centre,
Delhi School of Economics
University of Delhi, Delhi

Prof. R. Nagraj
Indira Gandhi Institute of
Development Research, Mumbai

Prof. S.K. Singh
Former professor of Economics
IGNOU, New Delhi

Prof. Vijay Katti
Professor and Head Economics and
Trade Policy, IIFT, New Delhi

Shri I.C. Dhingra
Rtd. Associate Professor
Shaheed Bhagat Singh College
University of Delhi, Delhi

Prof. K. Barik
Professor of Economics
IGNOU, New Delhi

Prof. Pravakar Sahoo
Institute of Economic
Growth, New Delhi

Shri Saugato Sen
Associate Professor of
Economics
IGNOU, New Delhi

COURSE COORDINATOR : Prof. Narayan Prasad

COURSE EDITOR : Prof. Rajeev Malhotra, Former Economic Advisor to Union Finance
Minister, Govt. of India

COURSE PREPARATION TEAM

Block/Unit Title	Unit Writer	Unit Editor
Block 3	Monetary and Fiscal Policies	
Unit 9	Inflation and Monetary Policy Mr. M. Rahul Dy. Director, Department of Economic Affairs, Ministry of Finance New Delhi	Prof Narayan Prasad & Ms. Chetali Arora
Unit 10	Capital Market and Its Regulations Dr. Alok Mishra University of Hyderabad Dr. Iti Mishra, ICAI, Hyderabad	Prof. Narayan Prasad
Unit 11	Fiscal Policy and Fiscal Responsibility and Budget Management (FRBM) Act Dr. Manish Gupta and Ms. Smriti Mehra, National Institute of Public Finance and Policy, New Delhi	Prof. Narayan Prasad & Ms. Chetali Arora
Unit 12	Major Development on Union State Relations Prof. Tapas Sen Rtd. Professor, National Institute of Public Finance and Policy, New Delhi	Prof. Narayan Prasad & Ms. Chetali Arora
Block 4	Sector Specific Issues and Policies	
Unit 13	Agriculture: Issues, Concerns, Policy and Programmatic Initiatives Dr. J.C. Sharma Rtd. Sr. Economic Adviser Government of India, Ministry of New and Renewable Energy, New Delhi	Prof. Narayan Prasad Ms. Chetali Arora
Unit 14	Large Scale Industries in India: Issues and Policy Shri I.C. Dhingra Rtd. Associate Professor, Shaheed Bhagat Singh College Delhi	Prof. Narayan Prasad Ms. Chetali Arora
Unit 15	Micro, Small and Medium Enterprises (MSMEs): Issues and Policy Ms. Chetali Arora, Academic Associate IGNOU, New Delhi	Prof. Narayan Prasad
Unit 16	Services Sector I: Organised Sector- Issues and Policy Dr. J.C. Sharma Rtd. Sr. Economic Adviser Government of India	Prof. Narayan Prasad Ms. Chetali Arora
Unit 17	Services Sector II: Informal Sector- Issues and Policy Dr. J.C. Sharma Rtd. Sr. Economic Adviser Government of India	Prof. Narayan Prasad Ms. Chetali Arora

SECRETARIAL ASSISTANCE & GRAPHICS

Ms. Kamini Dogra
Personal Assistant
SOSS IGNOU, New Delhi

PRINT PRODUCTION

Mr. Yashpal
Assistant Registrar
IGNOU, New Delhi

April, 2021

©Indira Gandhi National Open University, 2021

ISBN :

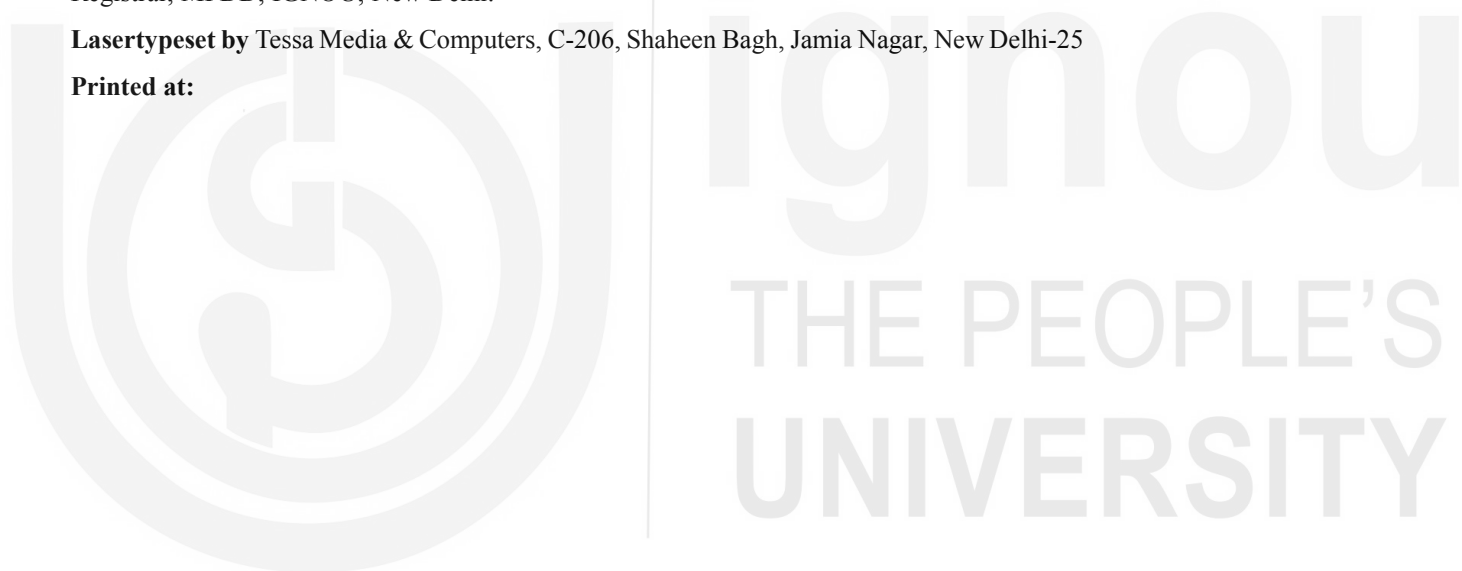
All rights reserved. No part of this work may be reproduced in any form, by mimeograph or any other means, without permission in writing from the Indira Gandhi National Open University.

Further information about the School of Social Sciences and the Indira Gandhi National Open University courses may be obtained from the University's office at Maidan Garhi, New Delhi-110 068, India or the Official Website of IGNOU: www.ignou.ac.in

Printed and published on behalf of the Indira Gandhi National Open University, New Delhi, by Registrar, MPDD, IGNOU, New Delhi.

Lasertypeset by Tessa Media & Computers, C-206, Shaheen Bagh, Jamia Nagar, New Delhi-25

Printed at:



Contents

BLOCK 3	MONETARY AND FISCAL POLICIES	7
UNIT 9	Inflation and Monetary Policy	9
UNIT 10	Capital Market and Its Regulations	24
UNIT 11	Fiscal Policy and Fiscal Responsibility and Budget Management (FRBM) Act	45
UNIT 12	Major Development on Union State Relations	75
BLOCK 4	SECTOR SPECIFIC ISSUES AND POLICIES	103
UNIT 13	Agriculture: Issues, Concerns, Policy and Programmatic Initiatives	105
UNIT 14	Large Scale Industries in India: Issues and Policy	135
UNIT 15	Micro, Small and Medium Enterprises (MSMEs): Issues and Policy	158
UNIT 16	Services Sector I: Organised Sector - Issues and Policy	175
UNIT 17	Services Sector II: Informal Sector - Issues and Policy	202

BLOCK 3
MONETARY AND FISCAL POLICIES

BLOCK 3 MONETARY AND FISCAL POLICIES

Economic policies are statements of aims and ideals to be achieved through various policy instruments outlined by the government to guide the process of economic development. Broadly speaking, we can distinguish between two types of instruments of economic policy viz., Macroeconomic policies (or aggregate policies), and Microeconomic policies (Sectoral policies)

This block deals with two important instruments of macroeconomic policy:

1. Monetary Policy
2. Fiscal Policy

Apart from these two instruments, the block also deals with inflation, capital market and its regulation, fiscal responsibility and budget management (FRBM) Act.

Unit 9 entitled ‘**Inflation and Monetary Policy**’ throws light on inflation, its measurement factors influencing inflation, operating procedures and mechanisms involved in monetary policy.

Unit 10 on ‘**Capital Market and its Regulations**’ focuses on organisational structure, role, function and performance of Indian capital market, Indian equity market, currency market, derivative market and corporate debt market.

Unit 11 entitled ‘**Fiscal Policy and Fiscal Responsibility and Budget Management (FRBM) Act**’ examines how changes in government spending and taxation affect equilibrium level of income and interest rate in terms of IS-LM framework. The Unit also covers discussion on operation of fiscal policy, the need to adopt FRBM Act and appreciate the genesis of GST and its implementation.

Unit 12 on ‘**Major Development on Union State Relations**’ spells out the principles governing fiscal federalism, the role of Finance Commission as an institution in fiscal federalism, the recommendations of 14th and 15th Finance Commission and the dimensions and issues involved in contemporary Centre and state fiscal situation in the country.